Then, the sources of supply to acquire the required fund are also to be mentioned. The share capital in terms of equity and preference shares and how much will be borrowed capital from different financial institutions and banks are to be clearly determined.

4. Commercial Functions:

(i) Production / Manufacturing:

Goods are produced once the enterprise is finally established. Production function includes decisions relating to the selection of factory site, design and layout, types of products to be produced, research and development, and design of the product.

The additional activities include production planning and control, maintenance and repair, purchasing, store-keeping, and material handling. Proper production planning and control are crucial for the effective performance of production function.

(ii) Marketing:

Marketing is the performance of those business activities that direct the flow of goods and services from producer to consumer or user. Thus, marketing essentially begins and ends with the customers. Marketing is not just selling. It includes other marketing activities such as market or consumer research, product planning and development, standardization, packaging, pricing, storage, promotional activities, distribution channel, etc. The success of marketing function is linked with an appropriate 'marketing mix'. Traditionally, marketing mix is referred to 4 P's, namely, product, price, promotion, and physical distribution. Of late, 3 more P's namely, packaging, people, and process are also added to 'marketing mix'.

(iii) Accounting:

The main objective of any business enterprise is to earn profits and create wealth. This is ascertained through accounting. Accounting is the art of recording, classifying and summarizing in a significant manner and, in terms of money, transactions and events which are, in part at least, of a financial character and interpreting the results thereof."

The **Profit and Loss Account** is prepared for ascertaining whether the business earned profit or incurred loss during a particular accounting period. The Balance Sheet is prepared to know the financial position of business on a particular date hence, the Balance Sheet is also called **'Position Statement.'**

7.3.3 Characteristic of Entrepreneurs

In order to be a successful entrepreneur one should possess the following qualities:

- **Mental Ability:** Entrepreneurs must have creative thinking and must be able to analyse problems and situations and be able to anticipate changes.
- **Business Secrecy:** Entrepreneurs should guard business secrets from competitors.
- **Human Relations:** Entrepreneurs must maintain good relation with customers and employees.
- **Communication Ability:** Entrepreneurs should have good communication skills.

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